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1. Which of the following is NOT a Marketing Activity ?
- A. Product Development
 - B. Brand Management
 - C. Distribution Strategy
 - D. Advertising
 - E. Production Scheduling
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2. Warby Parker started as an online retailer of eyeglasses and later expanded to standalone brick-and-mortar stores. The company is considering whether to add Warby Parker counters inside high-end department stores such as Neiman Marcus. This latest decision would be an investment in which of the following components of the Marketing Mix?
- A. Product
 - B. Place
 - C. Partnership
 - D. Promotion
 - E. People
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3. How does the “book value” of a company differ from the “market value” of a company?
- A. Book Value is greater than Market Value
 - B. Book Value fluctuates based on external perceptions about the firm's future profitability, while Market Value fluctuates purely because of asset depreciation
 - C. Book Value is based on historical information and Market Value is based on expected future performance
 - D. Book Value and Market Value mean the same thing to investors
 - E. Book Value and Market Value are based on different sets of accounting rules
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4. Which of the following is NOT a way in which debt and equity investments in a public company typically differ from one another?
- A. Certainty about the amount and timing of payments the investor will receive from the company
 - B. Likelihood the investor's money is returned in the event of a bankruptcy
 - C. Sensitivity of investment returns to company's share price
 - D. How the investment is recorded on the company's balance sheet
 - E. Extent of investor's legal liability in the event of a bankruptcy
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5. Which of the following statements is true of a corporation?
- A. The Board of Directors is appointed by the CEO (Chief Executive Officer)
 - B. The Board of Directors is elected by the shareholders
 - C. Members of the Board of Directors have to be shareholders
 - D. The Board of Directors is elected by employees of the company
 - E. The Board of Directors is appointed by the officers of the company
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6. Noah was thinking about investing in Hat Trick Productions (HTP Inc) In order to research the company, Noah asked for their Balance Sheet from end of their last fiscal year. What is Noah **NOT** likely to learn from looking at their Balance sheet?
- A. How much Hat Trick Productions owes its lenders
 - B. How much cash Hat Trick Productions had on the date of the statement
 - C. How profitable Hat Trick Productions was
 - D. How Hat Trick Productions financed its operations
 - E. Noah can tell all of the above by reviewing Hat Trick Production's Balance Sheet
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7. Which Strategy Tool or Framework is used to identify industries where firms are likely to achieve higher than average rates of profitability
- A. SWOT Analysis
 - B. Five Forces Framework
 - C. Competitive Positioning Grid
 - D. Customer Focus Groups
 - E. Value Chain Analysis
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8. What is the "Fundamental Fact of Strategy" according to the course readings?
- A. More competition leads to lower profits
 - B. Sustainable advantage requires a unique competitive position
 - C. Firms with a clear and concise strategy perform better
 - D. It is impossible to capture more value than you create
 - E. Profits vary significantly across industries and within industries
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9. How does Adam Smith's "Labor Theory of Value" differ from the Value Creation framework discussed in our lecture and readings?
- A. The Labor Theory of Value focuses exclusively on labor costs, while the Value Creation framework also considers other non-labor costs
 - B. The Labor Theory of Value is based on historical data, while the Value Creation framework uses future projections
 - C. The Labor Theory of Value is applicable to services, while the Value Creation framework is only for goods
 - D. The Labor Theory of Value is outdated, while the Value Creation framework is a modern approach to value assessment
 - E. The Labor Theory of Value considers only production costs, while the Value Creation framework includes market demand
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10. Which of the following actions would directly increase consumer surplus according to the Value Stick framework?
- A. Increasing the price of the product while keeping the cost constant
 - B. Decreasing the perceived value of the product while keeping the price constant
 - C. Increasing the cost of production while keeping the price constant
 - D. Decreasing the price of the product while keeping the perceived value constant
 - E. Increasing the cost of production and the price simultaneously
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11. Why is Personal Fit often a poor hiring criterion ?
- A. Selections based on fit can keep demographic and cultural diversity low
 - B. Good managers can fix staff issues
 - C. Fit is never important for hiring
 - D. It is best to hire on intuition and first impressions
 - E. Shared experiences like hobbies and hometowns are a better indicator of fit
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12. According to the chapter you read on Management Information Systems, which of the following is most correct?
- A. The focus of management information systems is on information technology, which includes computer hardware, computer software, data management technology, networking and telecommunications technology
 - B. Organization, management, and technology each play key roles in management information systems
 - C. Management information systems are principally relevant for digital firms but not manufacturing firms
 - D. Management information systems have evolved to be less interested in decision-support, as a result of advances in artificial intelligence
 - E. People analytics is the central output of a management information system
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13. Provide a short definition of Market Segmentation and explain how it can create value? [6 points]
(Please write your essay response on a separate piece of paper)
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14. What Financial Statement can a manager use to find a company's 'Bottom Line'?
Why is the Bottom Line especially important?
What other accounting information do you need to calculate a company's Bottom Line if you are given information about its 'Top Line'?
[this question is 9 points]
(Please write your essay response on a separate piece of paper)
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15. Consider the Coffee Shop in which your team worked on in the Biz Cafe Simulation. Imagine that it were a real-world coffee shop and identify one question relevant to the coffee shop that could be answered via each of the following types of analytics:
Descriptive Analytics
Predictive Analytics
Prescriptive Analytics
(this question is awarded 9 points)
(Please write your essay response on a separate piece of paper)
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16. The DuPont Formula is $ROE = ROS \times S/A \times A/E$.
Please answer the following four (4) questions: (10 points)
- 1. Are these ratios derived from accounting or financial market data?
 - 2. What are the names for each of the three ratios on the right side of this equation?
 - 3. If you were analyzing Caterpillar (a large manufacturing firm) what parts of the formula would you focus on and why?
 - 4. If you were analyzing Wells Fargo (a large bank) what parts of the formula would you focus on and why?
- (Please write your essay response on a separate piece of paper)*
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17. Two classic examples of the Principal-Agent Problem involve:
(1) the management and ownership of public corporations and
(2) getting diagnosed and treated by a physician.
Please choose one of these two examples, and answer the four (4) questions below: (10 points)
1. Who is (or who are) the principal(s) in this example?
 2. Who is (or who are) the agent(s) in this example?
 3. What, if anything, is the problem in the scenario?
 4. Propose a method to “align incentives” between the principal and agent in your example.

(Please write your essay response on a separate piece of paper)

18. For CP Aquariums' expansion to 10 new locations, should the company opt for debt financing or equity financing? Discuss one cost and one benefit of each option (debt vs. equity) in the context of this expansion plan. [10 points]

(Please write your essay response on a separate piece of paper)

19. Suppose that there is a lifesaving (and patent-protected) drug that costs \$1,000 per patient per year to produce. In Western Countries, the value of a statistical life-year is roughly \$5 million. While most consumers do not have \$5 million, they are often willing to pay whatever money they do have to survive a life-threatening illness. Medicare is willing to pay (and does pay) \$200,000 per year to provide patients with access to the drug.
Please answer the three (3) questions below: (10 points)
1. How much value does the patient / consumer capture in this scenario?
 2. How much value does the pharmaceutical firm capture?
 3. How do you expect the distribution of value captured by each party to change when the patent expires and generic drug manufacturers enter the market to produce a therapeutically equivalent drug at the same cost?

(Please write your essay response on a separate piece of paper)